

Financial Analysis & Revenue Forecasting

1. Introduction

This project focuses on analyzing McDonald's financial performance and forecasting revenue trends. It aims to support strategic planning by enabling scenario-based projections and interactive financial insights.

2. Methodologies

- Applied time series forecasting techniques including moving average, exponential smoothing, and ARIMA to model and predict revenue.
- Incorporated scenario analysis for base, optimistic, and pessimistic cases.

3. Key Components / Output

- Developed an interactive Power BI dashboard to visualize:
 - Revenue trends and key income statement items
 - Actual vs. budget comparisons
 - Scenario-based revenue forecasts

4. Limitations and Future Improvements

- **Data Scope:** The dashboard currently focuses only on income statement items; expanding to include balance sheet and cash flow data would provide a more holistic financial view.
- **Model Enhancements:** Future iterations could explore machine learning models (e.g., XGBoost or LSTM) for more robust forecasting.

PROFIT & LOSS ANALYSIS

Year (2010-2024)

2021

2024

Quarter (CTRL + Click to select multiples)

Q1

Q2

Q3

Q4

Financial Statement

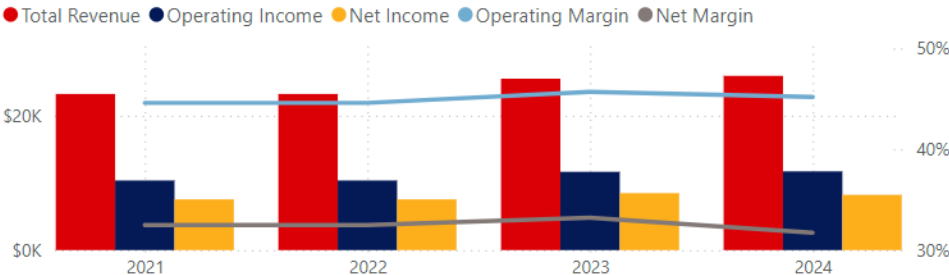
Drill up on Columns to view by Year, drill down to view by Quarter

(In Millions)

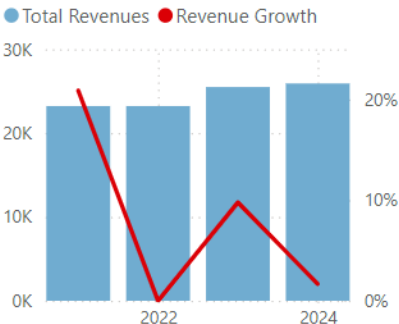
	2021Q1	2021Q2	2021Q3	2021Q4	2022Q1
⊕ Revenues	\$5,125	\$5,888	\$6,201	\$6,009	\$5,666
⊕ Total revenues	\$5,125	\$5,888	\$6,201	\$6,009	\$5,666
⊕ Operating costs and expenses	\$2,843	\$3,197	\$3,215	\$3,612	\$3,353
⊕ Total operating costs and expenses	\$2,843	\$3,197	\$3,215	\$3,612	\$3,353
⊕ Operating income	\$2,281	\$2,691	\$2,987	\$2,397	\$2,313
⊕ Nonoperating expenses	\$329	\$315	\$295	\$289	\$771
⊕ Income before provision for income taxes	\$1,953	\$2,376	\$2,691	\$2,108	\$1,541
⊕ Income taxes	\$416	\$157	\$542	\$469	\$437
⊕ Net income	\$1,537	\$2,219	\$2,150	\$1,639	\$1,104

2024 KPIs

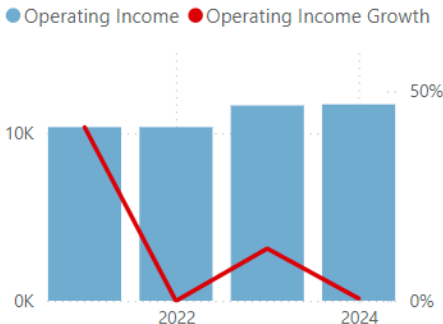
Revenue	Operating...	Net Income	Operating...	Net Margin
\$25,920	\$11,712	\$8,223	45.03%	32.48%



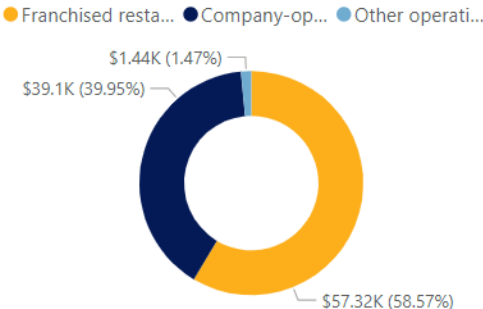
Total Revenues & QoQ, YoY Growth



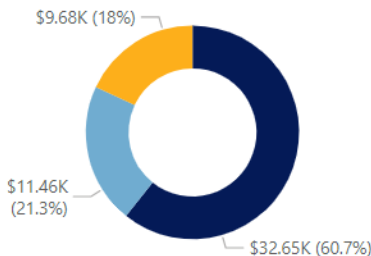
Operating Income & QoQ, YoY Growth



Revenue Breakdown by Business Lines



Expenses Breakdown by Business Lines



ACTUAL VS. BUDGET

Year (2010-2024)

2024

2024

Quarter (CTRL + Click to select multiples)

Q1

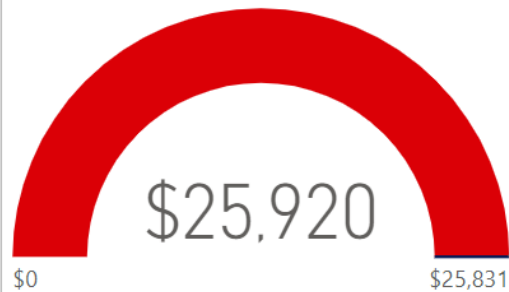
Q2

Q3

Q4

1-Revenues

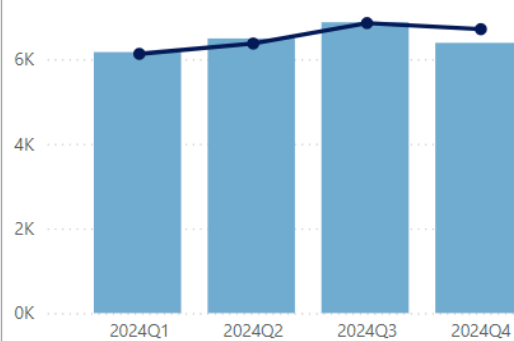
Goal Tracker



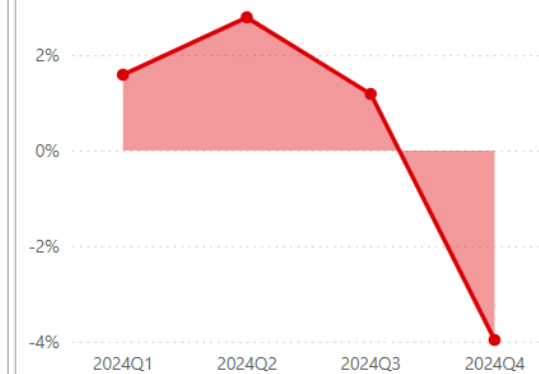
2-Expenses

Actual and Budget by YearQuarter

● Actual ● Budget



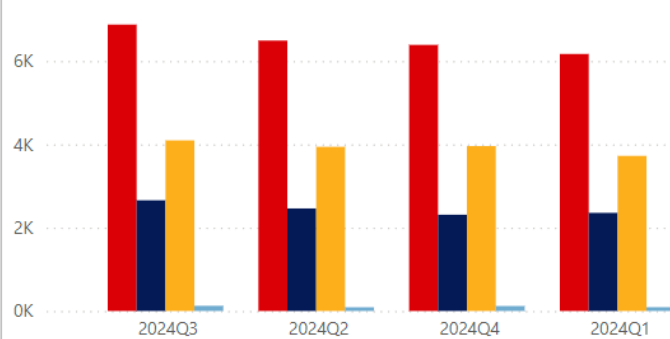
Variance by Year



3-Operating Income

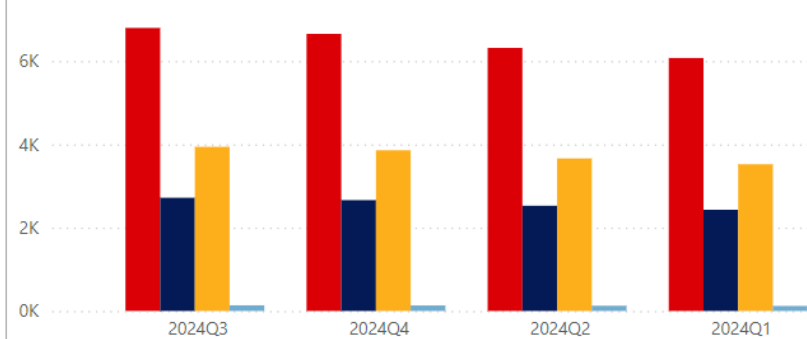
Actual by Business Lines

● Total ● Company-operated restaurants ● Franchised restaurants ● Other



Budget by Business Lines

● Total ● Company-operated restaurants ● Franchised restaurants ● Other



SCENARIO PLANNING

Scenario

- ☐ Aggressive
- ☐ Optimistic
- ☒ Base Case
- ☐ Conservative
- ☐ Pessimistic

Variance

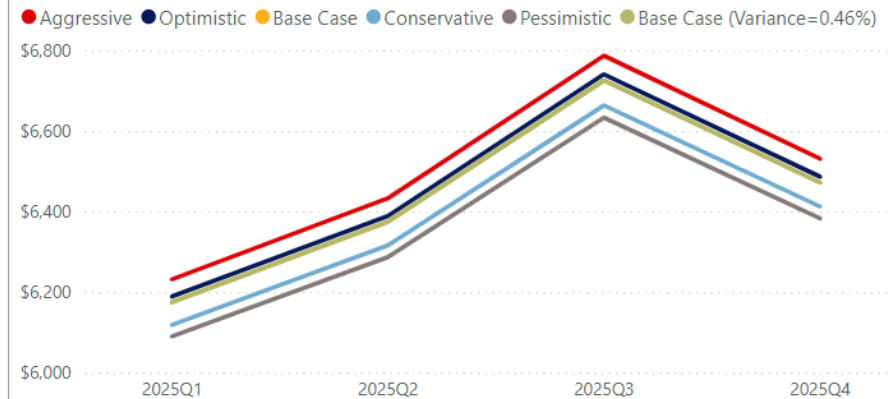
0.46%

YearQuarter

Forecasted Revenue

2025Q1	\$6,175
2025Q2	\$6,374
2025Q3	\$6,725
2025Q4	\$6,472

Forecasted Revenue by Scenario



Total Revenue Actual vs. Model Prediction

Drill up to view by Year, drill down to view by Quarter

